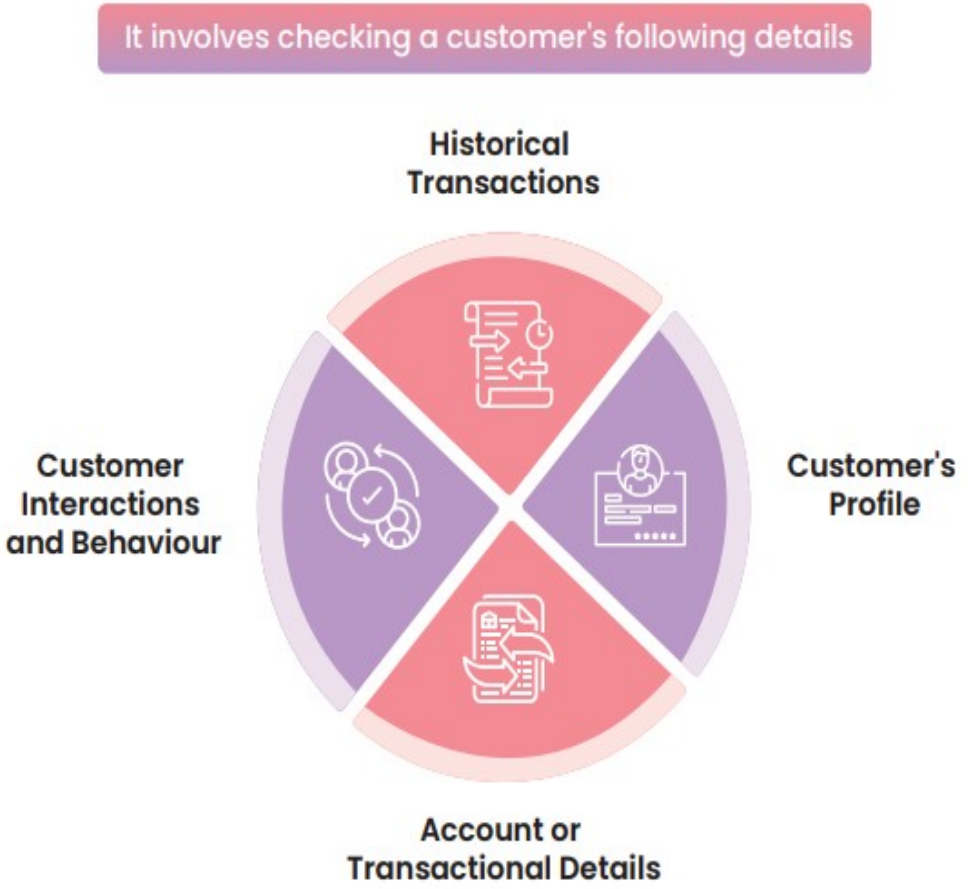


IMARTICUS LEARNING

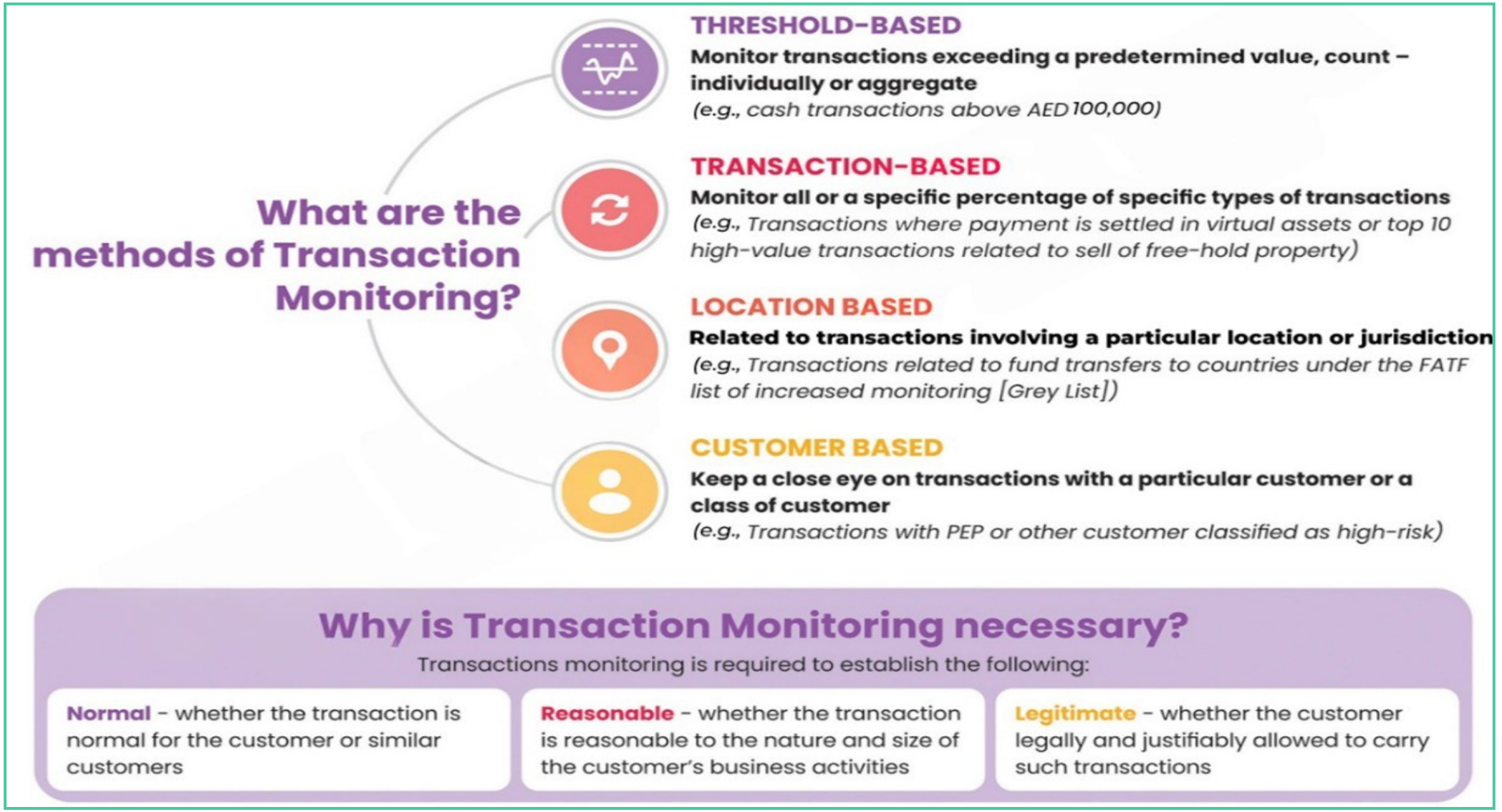
TRANSACTION MONITORING & SAR

WHAT IS TRANSACTION MONITORING

- Transaction monitoring is the process used by banks, financial institutions, and regulated entities to systematically review customer transactions, including transfers, deposits, withdrawals, and payments, to identify suspicious or unusual activity.
- It helps detect potential money laundering, terrorist financing, fraud, or sanctions violations by analyzing patterns, amounts, frequencies, and counterparties involved in transactions.

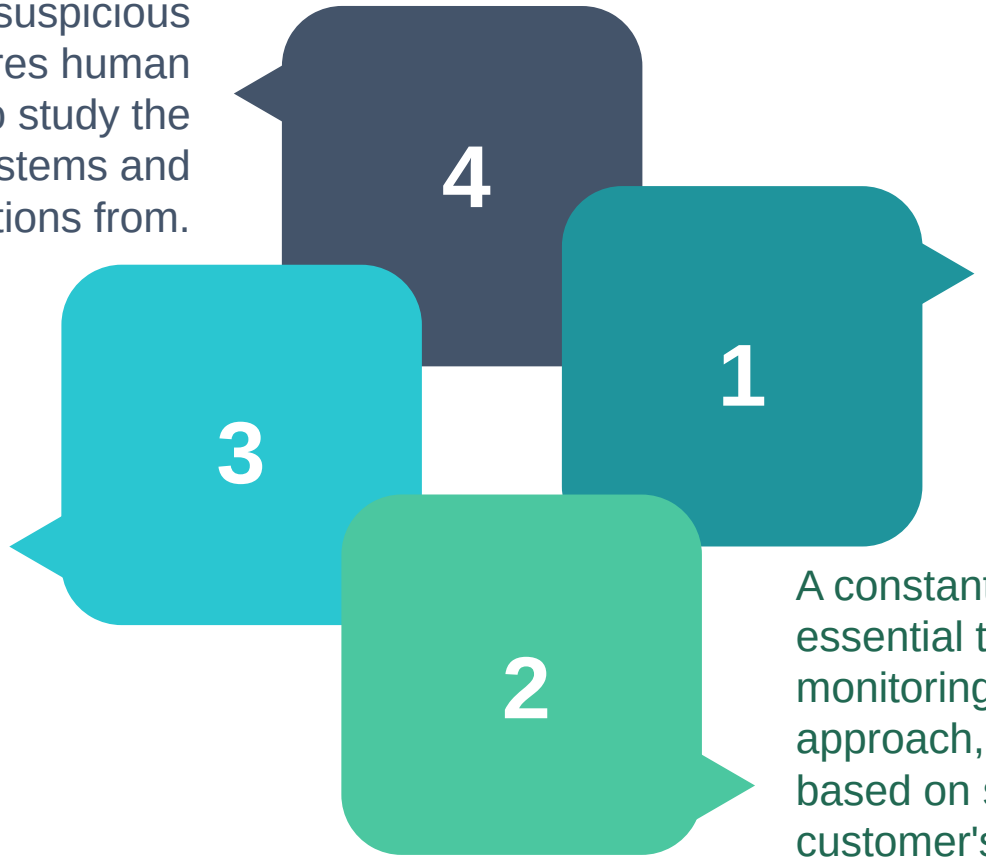


WHAT IS TRANSACTION MONITORING



SIGNIFICANCE OF AML TRANSACTION MONITORING

Entities have started using transaction monitoring systems to detect suspicious transactions. But it also requires human intelligence and experience to study the alerts generated by the systems and separate the fraudulent transactions from.



Generally, anti-money laundering regulations require regulated entities to perform transaction monitoring It is mandatory for entities to track suspicious customers, suppliers, or transactions

For a high-risk client, you need to adopt an advanced level of transaction monitoring, with increased frequency and rigorous monitoring thresholds.

A constant check on customers' activities is essential to avoid financial crimes. Transaction monitoring allows entities to adopt a risk-based approach, wherein the monitoring is done based on set rules defined considering the customer's risk profile developed during Customer Due Diligence process and the nature of transactions executed by the customer.

Steps in Transaction Monitoring Programme



Step 1: Risk Assessment of Your Business

- Identifying risks your business faces from customers, products and services, and operating environment is critical for your AML compliance. For this, you must conduct a detailed risk assessment of your business by performing Enterprise-Wide Risk Assessment. Analysis of risk parameters must be mapped with your business's risk appetite. A deep understanding of the risks you take as an entity and the measures you use to cover these risks is crucial in developing a ML/FT risk profile of your business. Also, you get to know what degree of risk you may face depending on the type of customers you handle, types and volumes of transactions, etc.

IMARTICUS LEARNING

Step 2: Define Red Flags

To ensure the correct identification of suspicious transactions, you must understand it – the indicators and the impact. For this, you must define the red flags your employees will look for while reviewing transactions or based on which the monitoring rules would be calibrated in the transaction monitoring solution.

A Transactions involving large amounts of money	B A sudden new transaction unusual for a customer (nowhere like any other transactions done before)
C Several small transactions of the same type in a short time	D Inconsistency of the transaction with the customer's economic profile
E The transaction is directed to or from a high-risk country or a jurisdiction featured in the sanction list	F Customer's insistence on using cash to settle the transaction

Red Flags - Customers

Red flags indicators also aid financial institutions in order to apply a risk-based approach to meet customer due diligence (CDD) requirements like knowing about the beneficial owners and understanding the legitimacy of the source of funds. If there is a red flag indication, the regulators might suspect the occurrence of either terrorist financing or money laundering, or any funding of illegal organizations. Law enforcement officers find these red-flag indicators helpful when monitoring the behavior of the professionals or even the customers.

Red flags about the customer :

The customer is extraordinarily secretive or tries to evade information related to the following aspects.

- Who the customer is
- What precisely the bigger picture is, and is there anything that is lying under the table
- What is the source of the enormous sum of money
- Who exactly is the beneficial owner
- Why are they carrying out a particular financial transaction in a different or unusual manner



Debit = Credit

Red Flags – Customers …..Contd

1. Customers are actively avoiding any sort of direct or personal contact
2. Uses an email address that is not found on the internet
3. If the customer clearly refuse to provide information, necessary documents, or data
4. Upon asking, the customer offers irrelevant or fake documents
5. An associated partner, or any known or unknown person involved in any kind of suspected criminal activities like terrorist financing and money laundering

Red flags alerts for parties

Red flags alerts for parties are generated when

1. When the parties or their representatives are situated in a country that is prone to high-risks
2. The parties involved in any financial transaction are tied for no apparent commercial reason
3. The links between the families, employment, institution of the parties may raise doubts about the legitimacy or authenticity of the parties
4. The individual who directs the operation is not amongst the official parties of the transaction or its representatives
5. A natural person working as a representative or a director is not appropriate in many terms, and even his behaviors is not right

RED FLAGS IN THE SOURCE OF FUNDS

Here are a few red flags that should look forward to in order to minimize the intensity of the damage:

Red flags

1. The financial transactions are expressly inconsistent with the socio-economic profile of the individuals.
2. If one finds out that the actual source of funding is illicit
3. If the customer uses more than one national or foreign bank account under his name
4. The choice of payment mode or method has been postponed to a highly close time to the time of notarization without any explainable or logical reason.
5. If there is any unexplained or suspiciously short payback period
6. Mortgages are repaid quickly without any sustainable explanation, even before the first due date
7. If the assets are being purchased in cash and rapidly used as a guarantee for the loan



RED FLAGS IN THE SOURCE OF FUNDS (Cont'd)

8. If any prompt request comes in order to moderate the previously agreed payment procedures without a good experience
8. Finance is provided by the lender without any logical explanation outside of the credit institution
8. The collateral provided for the transaction is located in a country that is categorized as high-risk.
8. If there has been an exponential increase or consecutive contributions to the same business enterprise without having any recent logical statement in favor of that same business unit.
8. If there is an unrelated increase in the capital from a company or from a foreign company.
8. If the business enterprise has received a relatively high sum of capital or fixed assets.
8. If there is an unnecessarily high or low price for the transfer of the securities.
8. If recently incorporated, companies are also making large financial transactions without any justification or logical reason.



RED FLAGS RELATED TO BEHAVIOR

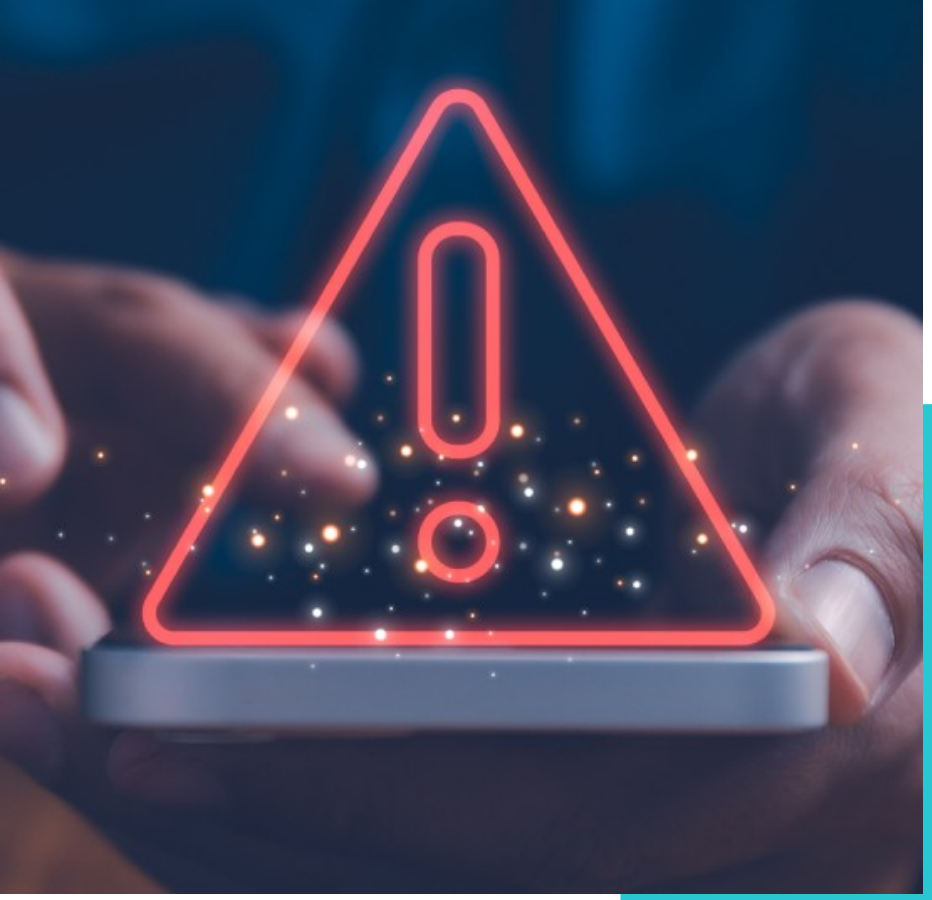


1. Where the customer makes unusual requests for maintaining the secrecy of the transaction.
2. Where the customer insists on the use of an intermediary in all interactions, without sufficient justification and avoids personal contact without sufficient justification.
3. Where delivery instructions requested appear to be unnecessarily complex or confusing.
4. The customer exhibits unusual concern with the firm's compliance with government reporting requirements and the organization's AML policies.
5. Customer involving foundations, cultural or leisure associations, or non-profit-making entities, especially when the characteristics of the transaction do not match the goals of the entity.
6. When the customer suddenly cancels the transaction when asked for identification or information

STEP 3: CREATE TRANSACTION MONITORING RULES

The transaction monitoring rules must be based on the organization's risk appetite and red flag indicators. The system for transaction monitoring will have to be aligned with these rules to identify suspicious transactions. The rules may be created around the following:

- The maximum amount involved in a transaction **(Threshold based)**
- Number of transactions executed by a customer of a specific nature **(Transaction based)**
- High-risk customers involved in the transactions executed through the entity **(Customer based)**
- Transaction directed to or from a high-risk jurisdiction **(Location based)**



STEP 4: REVIEW THE GENERATED ALERTS

The organization must review these alerts generated for suspicious transactions through the systems and procedures laid down as part of AML framework. The analysts must conduct a manual evaluation to check if the pattern or behaviors is suspicious. Such a review must take into consideration the overall profile of the customer, associated business relationships, the risk classification of the customer, etc. Based on analysis, a detailed report must be generated, capturing the nature of alert, investigation measures deployed, information reviewed and the outcome of the review. If you find it suspicious, an internal Suspicious Activity Report (SAR) or Suspicious Transaction Report (STR) must be filed with the Compliance Officer, for further review and reporting the suspicion to the FIU on the FIU Portal. Based on the evaluation, the organization may even drop the alert, classifying it as “false positive”, but document the reason.

ALERTS MANAGEMENT

When the underlying criteria behind a pre-determined detection rule/s is/are met, a transaction monitoring alert should be generated for further assessment. FIs should have an adequate process for the notification, handling and recording of alerts, as well as the actions taken. When a particular transaction is flagged, transaction monitoring analysts should exercise due diligence, ascertaining that the transaction in question is duly reviewed, and if required, obtaining the necessary supporting documentation/explanations, as well as clearly documenting the rationale for closing or escalating the alert. Where appropriate, analysts may need to adopt a more holistic approach and not only consider the alerted transaction in question, but also the customers' transactional history and past alerts. It is essential that alerts are analyzed and cleared within a reasonable timeframe, and that internal timelines are established for the monitoring of alerts. If the elements resulting in the alert provide reasonable grounds to suspect ML/FT, the FIs must report this suspicious transaction to the FIU without undue delay so as to ensure that it is satisfying its obligations in terms of PMLA/PMLR .



ALERTS MANAGEMENT



The recording of the alert and the actions taken as a result thereof are essential steps within the wider consideration of the transaction scrutiny process. Apart from ensuring a proper internal audit trail that can address any supervisory queries, the records can provide useful material to assess the adequacy of the transaction monitoring rules as referred to in precedence and the overall efficacy of the monitoring system, including its human elements. These same alerts and the results thereof can also provide interesting insights when reviewing a customer's risk understanding. In addition, in the event of possible queries from an intelligence or even a law enforcement perspective, the records will allow the FI to justify the course of action undertaken.

Transaction Monitoring Software

Transaction Monitoring Software

- Due to the advancement of technology, most banks have begun to depend on automated software to enact these rules. Once set up, the software will analyze transaction information automatically, flagging suspicious transactions for analyst review.
- Such automated solutions help businesses stay compliant with AML regulations much more efficiently than the manual transaction tracking of the past.
- Transaction monitoring involves the use of software and other tools to collect and analyze data on financial transactions, including the amount, source, and destination of funds.



Transaction Monitoring Software



Transaction Monitoring Software

Large amounts of financial transaction data, including bank transfers, credit card payments, and other financial activities, are scanned and analyzed using the software.

The technology is meant to detect patterns and irregularities that might be signs of money laundering or other financial crimes like fraud or funding terrorism.

- ✔ SAS. ...
- ✔ FICO Falcon Fraud Manager. ...
- ✔ Oracle Financial Crime and Compliance Management. ...
- ✔ ACI Proactive Risk Manager

Transaction Monitoring Software

How Does Transaction Monitoring Software Work?

Transaction monitoring software monitors every data point related to a transaction and feeds that data through risk rules.

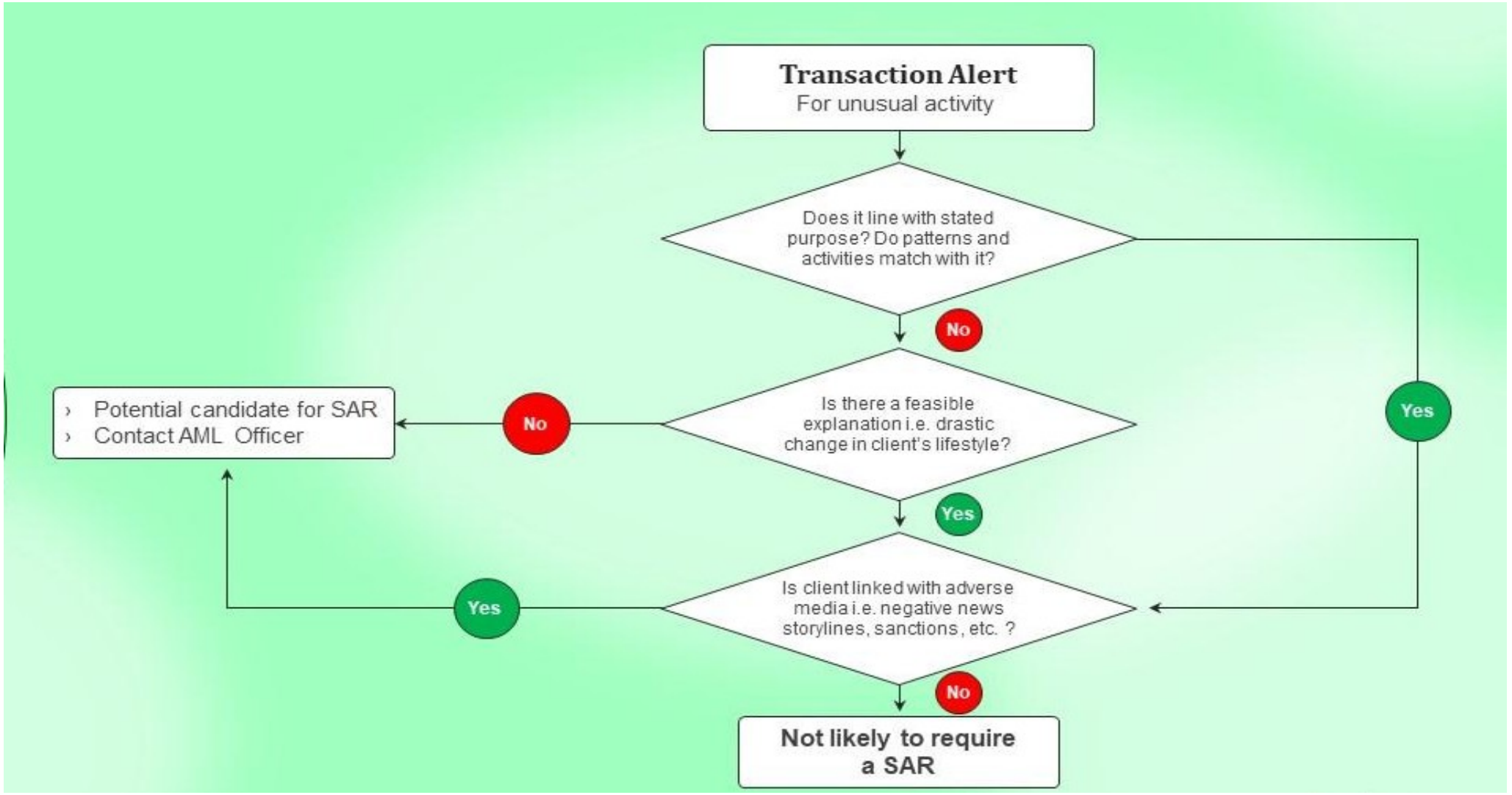
The system then automatically flags or blocks suspicious actions such as:

- Unusual transactions or account activity.
- Transactions over a certain value.
- Domestic or international transfers over a certain value.
- Large cash deposits or withdrawals (also known as transaction velocity).
- Unknown source of inbound and outbound funds.

The data for these flagged transactions (alerts) is usually compiled in a special file called a SAR.



Alerts in Transaction Monitoring Software



Alerts Created in Transaction Monitoring software

During transaction monitoring, alerts can be generated when certain activities or transactions meet predetermined criteria or thresholds that indicate a potential risk. Research entities, such as third-party databases and watchlists, can be used to enhance the effectiveness of transaction monitoring and generate more accurate alerts.

Here are some examples of alerts that may be generated using research entities:

- **Sanctions alerts-** Sanctions alerts refer to the notifications generated by a transaction monitoring system when a transaction or customer activity matches or is potentially linked to individuals, entities, or countries subject to economic sanctions. Economic sanctions are imposed by governments or international bodies to restrict certain activities, such as trade or financial transactions, with specific individuals, organizations, or countries, typically due to concerns related to national security, human rights, or international relations.

Alerts Created in Transaction Monitoring software

IMARTICUS LEARNING

1. **Match with Sanctioned Individuals or Entities:**

An alert may be generated when a customer's name, account details, or transaction information matches or closely resembles an individual or entity on a sanctions list. For example, if a customer shares the same name or has a similar address as a sanctioned person or entity, an alert would be generated.

2. **Transactions Involving Sanctioned Countries:**

Alerts may be triggered when a transaction involves a country that is subject to comprehensive or targeted sanctions. For instance, if a customer attempts to send funds to or receive funds from a sanctioned country, an alert would be generated.

3. **Prohibited Activities or Industries:**

Certain sanctions may target specific industries or activities. If a customer's transaction involves a prohibited sector, such as arms trading, nuclear technology, or certain natural resources, an alert would be generated.

Alerts Created in Transaction Monitoring software

IMARTICUS LEARNING

4. Blocked Parties or Denied Parties:

Alerts may be generated when a customer or transaction matches or is linked to individuals or entities listed as blocked parties or denied parties. These lists typically include individuals or entities involved in terrorism, money laundering, or other illicit activities.

5. Politically Exposed Persons (PEPs):

PEPs, who are individuals holding prominent public positions or having significant influence, are often subject to enhanced due diligence. If a customer is identified as a PEP and is subject to sanctions or restrictions, an alert would be generated.

6. Regulatory Changes and Updates:

Alerts may also be generated in response to changes or updates in sanctions regulations. For example, if a new sanctions list is published or if existing sanctions are modified, alerts would be triggered to ensure compliance with the updated requirements.

Process for Analyzing & Investigate Exceptions Alerts for Potential Money Laundering Risks In The Bank

- Analyzing and investigating exception alerts for potential money laundering risks in the bank is a crucial step in preventing financial crimes.
- Here are some general steps that can be taken to analyze and investigate exception alerts:

Collect relevant information

- Gather all relevant information about the customer, their transaction history, and the alert that was generated. This includes customer identification documents, transactional data, and any notes or comments associated with the alert.



Process for Analyzing & Investigate Exceptions Alerts for Potential Money Laundering Risks In The Bank

Review the alert

- Carefully review the alert to understand the nature of the potential risk. Consider the specific criteria or thresholds that triggered the alert and whether there are any other factors that may contribute to the risk.

Conduct additional research

- Use research entities and other tools to gather additional information about the customer and their transaction history. This may include searching public databases, reviewing news articles or social media posts, and analyzing the customer's financial behavior.



Process for Analyzing & Investigate Exceptions Alerts for Potential Money Laundering Risks In The Bank

Determine the level of risk

- Based on the information gathered, determine the level of risk associated with the alert. Consider factors such as the customer's behavior, the size and frequency of transactions, and any other red flags that may indicate potential money laundering or other financial crimes.
- **Investigate further**
  - If the level of risk is deemed high, conduct a more detailed investigation of the customer's transaction history and behavior. This may involve interviewing the customer or conducting further research to gather more information.
- **Document findings**
  - Document all findings and actions taken during the investigation. This includes recording any suspicious behavior, the results of the investigation, and any actions taken as a result of the investigation.



How Do We Analyze & Investigate Exceptions Alerts For Potential Money Laundering Risks In The Bank

IMARTICUS LEARNING

Report to Authorities

- If there is evidence of potential money laundering or other financial crimes, report the findings to the relevant authorities, such as law enforcement or regulatory agencies
- Overall, analyzing and investigating exception alerts is a critical component of preventing financial crimes in banks. By taking a systematic and thorough approach, banks can identify potential risks and take proactive measures to prevent financial crimes.



Alerts Types

- **True Hits Alerts** - True hits in AML (Anti-Money Laundering) refer to instances where a financial institution or other regulated entity has identified a transaction or customer that is involved in money laundering or other illicit activities.
- A true hit is a positive identification of suspicious activity that requires further investigation and reporting to regulatory authorities.
- True hits in AML are important because they help financial institutions to identify and prevent illegal activity



Examples of Potential True Hits

- **Large or frequent cash transactions:** - For example, a customer who makes several large cash deposits or withdrawals over a short period of time may be attempting to avoid detection or hide the source of the funds.
- **Unusual transaction patterns:** - For example, a customer who suddenly starts making large international wire transfers may be involved in a fraud scheme.
- **Suspicious counterparties:** - For example, a customer who frequently sends money to a shell company with no clear business purpose may be attempting to launder funds.
- **High-risk customers:** - For example, a customer who works in a high-risk industry such as gambling or adult entertainment may be more likely to engage in money laundering.
- **False or missing information:** - For example, a customer who provides false identification documents or who uses a fake address may be attempting to conceal their identity or the source of their funds.



What are the High-Risk Products & Services ?

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High-Risk Products and Services –

1. Wire Transfer/International Correspondent Banking
2. Private Banking Relationships
3. High-Risk Customers
4. High-Risk Geographic Locations
5. Cash-intensive businesses (refer word file for detailed description)
6. Electronic Banking

Falsa Alerts

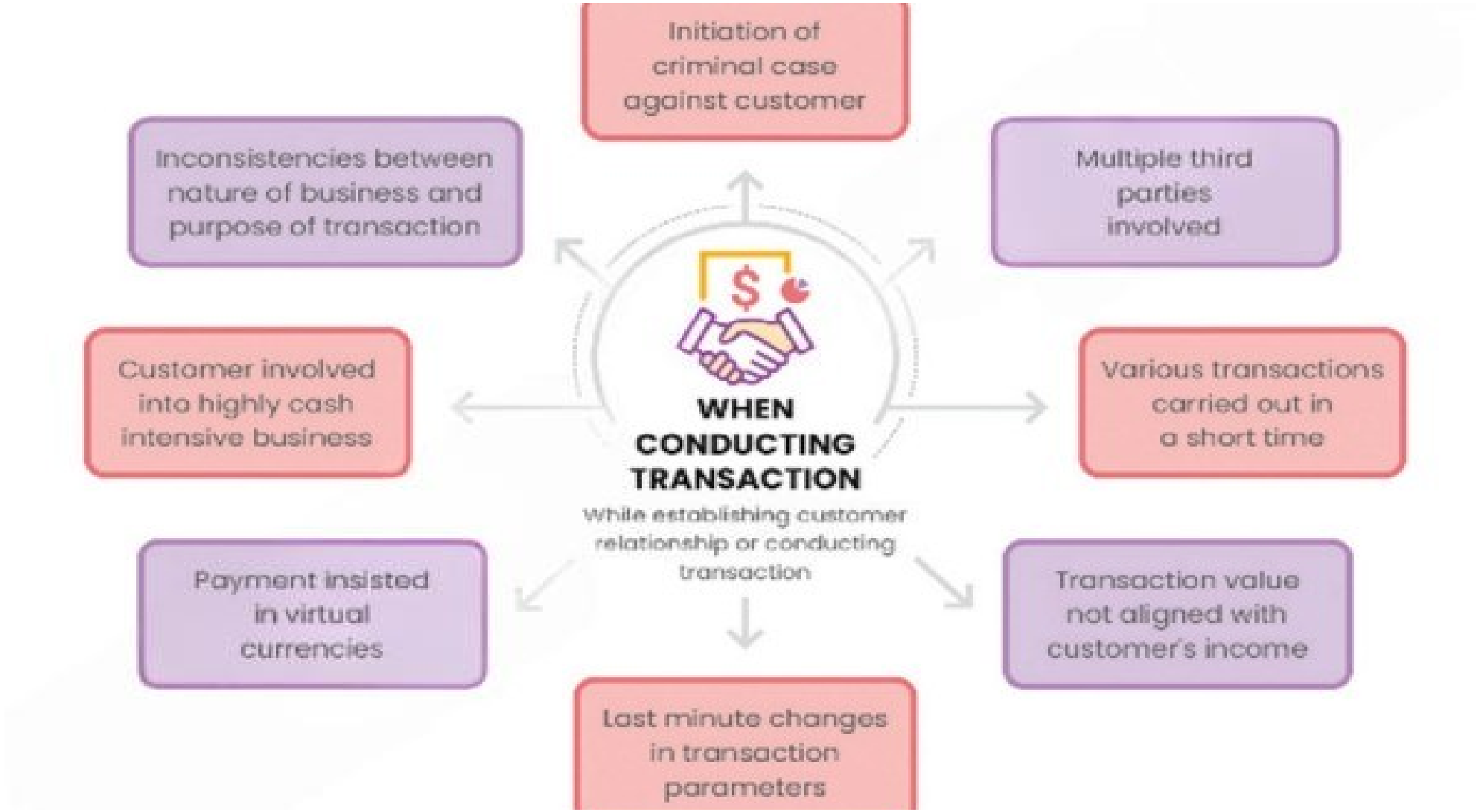
What are false positives, and why do they occur?

False positives vs false negatives

- False positives are legal transactions that are flagged by transaction monitoring systems as being illegal.
- On the other hand, false negatives are illegal transactions that get through without setting off the AML alert assessment procedure.



WHEN TO FILE A SUSPICIOUS TRANSACTIONS REPORT



IMPLEMENTING BEST PRACTICES: AML TRANSACTION MONITORING PROGRAM

Some of the best practices you can adopt for transaction monitoring include:

1. Remain Up-To-Date With Regulations

Keep an eye on the local regulations and international best practices for combating money laundering and other financial crimes. Understanding and implementing them is essential. With knowledge of all rules and regulations, you can update your red flags, optimize the monitoring rules and identify suspicious transactions efficiently.

2. Know About Your Industry and Products/Services

The Organization must have a deep knowledge of the sector and products/services to ensure effective transaction monitoring. Awareness of industry-specific risks, customer demographics, and product/service weaknesses can help create effective transaction monitoring rules. Furthermore, keep updating your knowledge on these factors – emerging trends and evolving typologies. The updated information helps to improvise your transaction monitoring solution and timely detect all money laundering and terrorist financing attempts.



IMPLEMENTING BEST PRACTICES: AML TRANSACTION MONITORING PROGRAM (Cont'd)

3. Create an Exhaustive List of Transaction Monitoring Rules

Consider all the possible red flags for your industry and product/services while creating transaction monitoring rules. These rules must encompass a range of simple and complex scenarios to detect all possible suspected transactions. Criminals keep updating their crime techniques to take advantage of your operations, processes, products, customers, etc. Similarly, you must frequently update these rules to stay on top of your potential ML/FT vulnerabilities.

4. Ensuring Quality of AML Transaction Monitoring

Entities must try to avoid making the "transaction monitoring" an operational, time-bound task. You must consider it as an action against financial crimes, focused on decreasing or eliminating the risk, and a value-added task uplifting the business. The entities must develop a system to promote employee engagement and contribution to the transaction monitoring program. If possible, the entity must base the employees' performance on the quality and efficiency of transaction evaluation and dispositioning of the alerts, not the volume of transactions handled



IMPLEMENTING BEST PRACTICES: AML TRANSACTION MONITORING PROGRAM (Cont'd)

IMARTICUS LEARNING

5. Documentation and Recalibrating the AML Monitoring Scenarios

The transaction monitoring system generates alerts if a transaction is against any rules fed into the system. Then, the analyst evaluates it comprehensively by collecting all related and relevant information. You must document all this information, analysis, and insights. Documentation helps develop a precise, comprehensive scenario. And documentation of all these scenarios helps create more rules and logic to enhance the transaction monitoring process, bringing in more parameters or revamping the existing ones.

6. Do Not Assume That One Size Fits All

Do not oversimplify the risk scenarios. Create detailed, to-the-point, granular-level characteristics to identify risky behaviors or patterns of customers or transactions. The clarity in scenarios enables better comparison with the rules to identify suspicious transactions and reduce the possibility of false positives.



IMPLEMENTING BEST PRACTICES: AML TRANSACTION MONITORING PROGRAM (Cont'd)

7. Keeping it Relevant and Not Layering with too many Risk Scenarios

Entities create an exhaustive list of risk scenarios to capture every possible suspicious transaction. But in this process, they forget to remove duplicates and non-contextual scenarios. With such an extensive list of possible risk scenarios, employees' workload increases when irrelevant alerts are generated, that are false positives. Too many monitoring parameters, out of business's risk context, slow down the systems and affects the quality of alerts. So, while creating scenarios, avoid overlap and add relevant thresholds and monitoring logic.

8. Use Artificial Intelligence in Transaction Monitoring

Only rules based on logic will not be sufficient for effective transaction monitoring. You must consider deploying AI-based transaction monitoring systems to generate more insights, predict the patterns and identify red flags that human eyes can overlook. Artificial intelligence can catch any irregularities or behavior that slips through the manual monitoring rules.



IMARTICUS LEARNING

STR - SUSPICIOUS TRANSACTION REPORT



COLLECTING INFORMATION FOR THE STR NARRATIVE

An STR narrative should identify the five essential elements of information – who? *what? when? where? and why?* – of the suspicious activity being reported. The method of operation (or how?) is also important and should be included in the narrative.





COLLECTING INFORMATION FOR THE STR NARRATIVE

Who is conducting the suspicious activity?

- While one section of the STR form calls for specific suspect information, the narrative should be used to further describe the suspect or suspects, including occupation, position or title within the business, and the nature of the suspect's business(es). If more than one individual or business is involved in the suspicious activity, identify all suspects and any known relationships amongst them in the Narrative Section.
- While detailed suspect information may not always be available (e.g., in situations involving non-account holders), such information should be included to the maximum extent possible. Addresses for suspects are important; filing institutions should note not only the suspect's primary street addresses, but also, other known addresses, including any post office box numbers and apartment numbers when applicable. Any identification numbers associated with the suspect(s) other than those provided earlier are also beneficial, such as passport, alien registration, and driver's license numbers.



COLLECTING INFORMATION FOR THE STR NARRATIVE

What instruments or mechanisms are being used to facilitate the suspect transaction(s)?

- An illustrative list of instruments or mechanisms that may be used in suspicious activity includes, but is not limited to, wire transfers, letters of credit and other trade instruments, correspondent accounts, casinos, structuring, shell companies, bonds/notes, stocks, mutual funds, insurance policies, travelers' checks, bank drafts, money orders, credit/debit cards, stored value cards, and/or digital currency business services.

- In addition, a number of different methods may be employed for initiating the negotiation of funds such as the Internet, phone access, mail, Cash deposit machines, or others. In summarizing the flow of funds, always include the source of the funds (origination) that lead to the application for, or recipient use of, the funds (as beneficiary). In documenting the movement of funds, identify all account numbers at the financial institution affected by the suspicious activity and when possible, provide any account numbers held at other institutions and the names/locations of the other financial institutions, including MSBs and foreign institutions involved in the reported activity.



COLLECTING INFORMATION FOR THE STR NARRATIVE

When did the suspicious activity take place?

- If the activity takes place over a period of time, indicate the date when the suspicious activity was first noticed and describe the duration of the activity. Filers will often provide a tabular presentation of the suspicious account activities (transactions in and out). While this information is useful and should be retained, do not insert objects, tables, or pre-formatted spreadsheets when filing a STR. These items may not convert properly when keyed in or merged into the STR System. Also, in order to better track the flow of funds, individual dates and amounts of transactions should be included in the narrative rather than just the aggregated amount.



COLLECTING INFORMATION FOR THE STR NARRATIVE

Where did the suspicious activity take place?

- Use the Narrative Section to indicate that multiple offices of a single financial institution were involved in the suspicious activity and provide the addresses of those locations.
- Specify if the suspected activity or transaction(s) involve a foreign jurisdiction. If so, provide the name of the foreign jurisdiction, financial institution, address and any account numbers involved in, or affiliated with the suspected activity or transaction(s).



COLLECTING INFORMATION FOR THE STR NARRATIVE

Why do you think the activity is suspicious?

- First describe briefly your industry or business – depository institution, casino, mortgage broker, securities broker, insurance, real estate, investment services, money remitter, check casher, etc. Then describe, as fully as possible, why the activity or transaction is unusual for the customer; consider the types of products and services offered by your industry, and the nature and normally expected activities of similar customers.

COLLECTING INFORMATION FOR THE STR NARRATIVE

How did the suspicious activity occur?

- Use the Narrative Section to describe the "**modus operandi**" or the method of operation of the subject conducting the suspicious activity. In a concise, accurate and logical manner, describe how the suspect transaction or pattern of transactions was committed. Provide as completely as possible a full picture of the suspicious activity involved.
- For example, if what appears to be structuring of currency deposits is matched with outgoing wire transfers from the accounts, the STR narrative should include information about both the structuring and outbound transfers (including dates, destinations, amounts, accounts, frequency, and beneficiaries of the funds transfers).



ORGANIZING INFORMATION IN THE STR NARRATIVE

IMARTICUS LEARNING

Introduction - The introductory paragraph must provide

1. The purpose of the STR and a general description of the known or alleged violation [In some instances, this might warrant mentioning at the outset the type of suspicious activity being observed, such as Informal Value Transfer System (IVTS) operations, smurfing, shell entities, complex layering activities, structuring, check kiting, embezzlement, etc.];

2. The date of any STR(s) filed previously on the suspect or related suspects and the reason why the previous STR(s) was filed;

3. Whether the STR is associated with the Office of Foreign Assets Control's (OFAC) sanctioned countries or Specially Designated Nationals and Blocked Persons or other government lists for individuals or organizations;

4. Any internal investigative numbers used by the financial institution which may be a point of reference for law enforcement should the investigators wish to contact the institution; and

5. A summary of the "red flags" and suspicious patterns of activity that initiated the STR. (This information should be provided either in the introduction or conclusion of the narrative.)



ORGANIZING INFORMATION IN THE STR NARRATIVE

Body

The Body paragraph must provide all pertinent information supporting why the STR was filed:

- ❑ Any and all relevant facts about the parties (individuals and businesses) who facilitated the suspicious activity or transactions. Include any unusual observations such as suspected shell entities; financial activities which are not commensurate with the expected normal business flows and types of transactions; unusual multiple party
- ❑ Relationships; customer verbal statements; unusual and/or complex series of transactions indicative of layering; lack of business justification and documentation supporting the activity; etc.;
- ❑ A specific description of the involved accounts and transactions, identifying if known, both the origination and application of funds (usually identified in chronological order by date and amount);
- ❑ Breaking out larger volumes of financial activity into categories of credits and debits, and by date and amount;

ORGANIZING INFORMATION IN THE STR NARRATIVE

Conclusion - The final paragraph of the narrative can summarize the report and might also include



Information about any follow-up actions conducted by the financial institution (e.g., intent to close or closure of accounts, ongoing monitoring of activity, etc.);



Names and telephone numbers of other contacts at the financial institution if different from the point of contact indicated in the STR;



A general description of any additional information related to the reported activity that may be made available to law enforcement by the institution; and



Names of any law enforcement personnel investigating the complaint who are not already identified in another section of the STR.



CASE STUDY : AUSTRAC DATA HELPED CAPTURE INTERNATIONAL CYBERCRIMINAL

The Crime

The offender, an international fugitive, was wanted in the US for cybercrime and fraud. US authorities suspected he was part of an organised crime syndicate and published information about him online to alert the public and international authorities.

Working with Australian authorities, AUSTRAC analysed three SMRs from reporting entities and found that the offender held several Australian bank accounts in a false name, a joint bank account with a third-party and a business account for a cafe he operated.

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- AUSTRAC's analysis of the SMRs showed that over 12 months, international funds transfer instructions (IFTIs) of A$6.6 million were deposited into the offender's personal and business bank accounts in Australia. The IFTIs were sent from Canada, Hong Kong, Indonesia, Nigeria and the United Arab Emirates. Shortly after receiving the funds, the offender accessed them using:
  - Cash withdrawals at different bank branches
  - Cash withdrawals from ATMs at gaming venues
  - Purchases of high-value goods using a debit card
  - Withdrawal of a bank cheque made payable to a real estate agent.

  Over the same period, the offender sent IFTIs of around A$318,000 to beneficiaries in the US, Canada, Germany, Luxembourg and Malaysia. He also made high-volume electronic transfers between his own bank accounts, and to and from the bank accounts of unrelated third parties in a short space of time.
- He used large amounts of cash to buy casino gaming chips, in some cases using multiple structured cash buy-ins worth A$9000 to avoid reporting requirements. He made high-value cash transfers to accounts held in the name of a casino and gaming venue, and he placed high-value bets at multiple gaming venues over two months.
- AUSTRAC's analysis of the offender's financial activities led to law enforcement authorities being able to identify, arrest and charge him with conspiracy to commit bank fraud, conspiracy to commit money laundering, and computer fraud.

CASE STUDY : AUSTRAC DATA HELPED CAPTURE INTERNATIONAL CYBERCRIMINAL (CONTI...)

How STR Reporting helped

Reporting entities submitted eight SMRs highlighting the offender's use of multiple aliases, suspicious IFTIs into and out of the offender's accounts, high-value cash withdrawals and deposits, and the unexplained movement of funds between the offender's bank accounts.

AUSTRAC's role

AUSTRAC provided law enforcement with detailed analysis of the offender's financial activities, as well as data identifying phone numbers and address details used by the offender, which ultimately led to his arrest.



CASE STUDY : AUSTRAC DATA HELPED CAPTURE INTERNATIONAL CYBERCRIMINAL

Potential Red Flags

- Account activity inconsistent with customer/business profile.
- High-value cash deposits at multiple bank branches over a short period of time.
- High-value or structured cash purchases of casino chips.
- High-value transfers to accounts held in the name of a casino and gaming venue.
- High-volume and high-value incoming international funds transfers to Australia for no apparent reason.
- High-volume and/or high-value cash withdrawals at multiple bank branches and ATMs.
- Incoming international funds transfers from a high-risk jurisdiction.
- Large amount of cash used to place bets at a casino over a short period of time.
- Multiple cash withdrawals below the A$10,000 reporting threshold
- Multiple cash withdrawals conducted at ATMs and the same bank branch.
- Outgoing international funds transfers to pay out a mortgage.
- Refusal to show identification when undertaking cash buy-ins of gaming chips.
- Significant cash withdrawals over a short period of time.
- Third-party transfers to and from accounts for no apparent reason.
- Use of debit cards to purchase high-value goods.



IMARTICUS LEARNING

THANK YOU !!!